

Qualitative Assessment

John B. Sanfilippo & Son, Inc.

2026

Summary

What do they sell?

John B. Sanfilippo & Son processes, manufactures, markets, and distributes nuts, nut-related products, snack products, and nutrition bars.

The core products are peanuts, pecans, cashews, walnuts, almonds, and other tree nuts. The company sells these products raw, roasted, seasoned, packaged, and mixed into snack and trail mixes. It also sells peanut butter, almond butter, cashew butter, dried fruit, candy and confections, granola, sunflower kernels, sesame snacks, baked cheese snacks, and bars.

The main company-owned brands are Fisher, Orchard Valley Harvest, Squirrel Brand, Southern Style Nuts, and Just the Cheese. The company also manufactures a large amount of private-label and contract-manufactured products for retailers and other food companies.

The business is not just a branded snack company. It is better described as a vertically integrated nut processor and distributor with a combination of branded products, private-label products, commercial ingredient sales, and contract manufacturing.

Who buys it?

Customers are primarily food retailers, mass merchants, wholesalers, commercial ingredient users, restaurants, foodservice distributors, and other food companies.

The consumer channel is the largest channel and includes retailers such as supermarkets, supercenters, internet retailers, and other retail outlets. The company sells both branded products and private-label products through this channel.

The commercial ingredient channel sells nut-based products to manufacturers that use them in bakery, confection, cereal, ice cream, restaurant, and foodservice products. The contract manufacturing channel processes and packages nut and fruit-based snacks for other food companies under their own brands.

Customer concentration is a major issue. Walmart accounted for approximately 40% of fiscal 2025 net sales, and Target accounted for approximately 11%. This means more than half of the business depends on two customers.

Why do customers buy from them instead of others?

Customers buy from JBSS because it offers scale, reliability, product breadth, food safety capabilities, private-label manufacturing, branded products, and vertical integration.

For retailers, JBSS can supply a broad range of nut products across brands, private label, packaging types, price points, and formats. This is valuable because large retailers need suppliers that can handle volume, meet specifications, manage food safety, support category growth, and deliver consistently.

For commercial ingredient and contract manufacturing customers, the company offers processing capabilities, customization, packaging innovation, and experience handling major nut types.

The most important advantage appears to be operational rather than purely brand-based. Fisher and Orchard Valley Harvest have real brand value, but the business also wins because it can procure, shell, process, package, and distribute nuts at scale. The vertical integration in pecans, peanuts, and walnuts gives the company more control over quality, supply, and costs than a simple reseller.

Earnings

What are the primary drivers of earnings?

The primary drivers of earnings are sales volume, raw nut costs, pricing, customer mix, channel mix, gross margin, manufacturing efficiency, working capital, and customer concentration.

Revenue has grown from about \$542 million in 2007 to about \$1.07 billion in 2024. Net income improved from a loss in 2007 to about \$60 million in 2024. Operating income improved from about \$11 million to about \$85 million over the same period.

The most attractive part of the financial history is margin improvement. Operating margin increased from roughly 2% in 2007 to roughly 8% in 2024, with recent years generally much stronger than the early years. ROIC has also been strong recently, including about 24% in 2020, 20% in 2021, 23% in 2022, and 18% in 2023.

Does the company have pricing power, or are prices determined by the market?

The company does have some pricing power from brand, product quality, customer relationships, service levels, and its ability to supply large retailers consistently. It also has some ability to pass through raw material cost increases.

However, nuts are commodity inputs, and raw material prices can move quickly based on crop size, weather, global supply, tariffs, and demand. The company cannot fully hedge nut commodity prices because appropriate futures markets do not exist. This makes timing important. If costs rise before JBSS can raise prices, margins can compress.

Large retailers also have bargaining power. Walmart and Target are too important to ignore, and private-label business often involves bidding processes. This limits pricing power. JBSS can probably pass through some cost increases over time, but it is not a business with unlimited pricing power.

Are earnings stable, cyclical, or unpredictable? Why?

Earnings are more stable than a deeply cyclical industrial business, but they are not fully predictable.

The products are food and snacks, so demand should be more durable than discretionary categories like furniture, electronics, or hobby products. Nuts also benefit from health, convenience, snacking, and recipe-use trends.

However, earnings are exposed to commodity costs, crop yields, weather, customer buying decisions, private-label bidding, retailer pressure, seasonality, and working-capital swings. Free cash flow has been strong over the long term but lumpy year to year. For

example, free cash flow was about \$80 million in 2020, only about \$2 million in 2021, about \$104 million in 2022, and about \$73 million in 2023.

The business looks economically durable, but normalized earnings and free cash flow require conservative treatment in valuation.

Moat

What competitive advantage allows this company to earn strong returns compared to competitors?

JBSS's advantage comes from vertical integration, scale, food safety, customer relationships, product breadth, brand recognition, and operating experience in a specialized category.

The moat is real, but it is not a dominant consumer-products moat. The company does not appear to have Coca-Cola-style brand power. Instead, the business has a strong operating position in a difficult category where procurement, processing, food safety, packaging, quality control, and customer reliability matter.

Cost advantage:

Moderate.

This is probably one of the company's strongest advantages. JBSS is generally vertically integrated in pecans, peanuts, and walnuts. It can purchase a substantial portion of those nuts directly from growers and then shell, process, package, and market them.

This can lower raw material costs in most crop years and gives the company better insight into crop development. It also allows the company to sell different forms of the same nut through different channels, such as selling premium pieces to consumer customers and smaller pieces to ingredient users.

Network effects:

None.

Switching costs:

Consumers can easily switch from Fisher to Planters, Diamond, private label, or other snack brands. Retailers can also shift shelf space if a competitor offers better pricing, terms, innovation, or promotional support.

Switching costs are higher for commercial ingredient and contract manufacturing customers because of product specifications, food safety requirements, reliability, packaging, and supplier qualification. But these are still not permanent switching costs.

Brand:

Brand is meaningful but not dominant.

Fisher, Orchard Valley Harvest, Squirrel Brand, Southern Style Nuts, and Just the Cheese are real brands. Fisher in particular appears to be important in recipe nuts and snack nuts. The brands help retailers and consumers trust the products.

However, the company also relies heavily on private-label and contract manufacturing. That means the value of the business is not only in consumer brand equity. The brands help, but they do not eliminate price competition from Planters, Diamond, private label, or larger snack companies.

Regulation:

Limited to moderate.

Food safety regulation creates compliance costs and operational complexity, but it does not create a strong protected monopoly.

However, regulation and food safety standards may help established processors. Large retailers and food companies need suppliers that can meet food safety, labeling, allergen, inspection, and quality standards. Smaller competitors may struggle to match the same level of compliance and scale.

Regulation is not a primary moat, but food safety capability supports the company's customer relationships.

Scale:

Moderate to strong.

Scale matters in procurement, shelling, processing, packaging, logistics, retailer relationships, broker networks, marketing, category management, and food safety.

JBSS processes and sells all major nut types consumed in the United States and sells through multiple channels. This creates more revenue opportunities for the nuts it processes and lets the company serve major customers with broad product offerings.

Scale also matters because large retailers prefer reliable suppliers that can support high volume, consistent quality, and multiple SKUs.

Asset ownership:

Moderate to strong.

The most important assets are processing facilities, shelling capabilities, supplier relationships, customer relationships, trademarks, brands, food safety systems, and operating know-how.

The physical assets matter more here than in a software or light-brand business. This company has real operational infrastructure that would not be easy or cheap to replicate quickly.

Geographic monopoly:

None.

The company does not have geographic monopoly economics. It sells mostly in the United States and competes with national, regional, and international food companies.

Capital Allocation

Have they diluted shareholders?

Not materially.

Shares outstanding increased from about 10.6 million in 2007 to about 11.7 million in 2024. That is modest over a long period and does not suggest shareholder abuse.

The company has not relied heavily on equity issuance. This is a positive.

Are buybacks intelligent or desperate?

There does not appear to be enough evidence to call buybacks a major part of the story.

The more important shareholder return mechanism has been dividends, including regular and special dividends. The dividend per share has been lumpy because of special dividends, but the company has clearly returned cash to shareholders when cash generation and the balance sheet allowed it.

Debt behavior rational?

Debt behavior looks rational. Total debt declined from about \$133 million in 2007 to about \$28 million in 2024, while shareholder equity increased from about \$158 million to about \$323 million.

Debt/equity declined materially over the historical period. The company has used leverage, but not recklessly. The balance sheet is much better today than it was in the early years of the financial summary.

The one thing to watch is that debt can move around with working capital, inventories, crop purchases, acquisitions, and capital expenditures. But overall, debt behavior appears conservative.

Acquisitions disciplined?

Mostly yes, but more work is needed.

The company states that it has used focused capital expenditures and complementary acquisitions to build its vertically integrated nut processing operation. That sounds rational because the acquisitions appear connected to the core business rather than unrelated diversification.

This is a positive if acquisitions improved processing capability, product breadth, vertical integration, or customer service. I do not see evidence from the financial summary that acquisitions have destroyed value.

The Lakeville bar acquisition should be studied separately. Bars are adjacent, but they are more competitive and may have different economics than the core nut business. The key question is whether bars strengthen the platform or dilute returns.

How has management historically used free cash flow?

Management has used free cash flow for reinvestment, debt reduction, dividends, working capital, capital expenditures, and complementary acquisitions.

This is one of the strongest parts of the company. Over the long term, management appears to have improved margins, strengthened the balance sheet, paid meaningful dividends, and avoided major dilution.

Free cash flow is lumpy because of inventory and working capital swings, but the long-term record is good. The company has not behaved like a promotional small cap. It looks like a family-influenced operating business that has steadily improved over time.

Failure

How could this business fail?

JBSS would most likely fail as an investment through margin compression, customer loss, or poor capital allocation rather than sudden business collapse.

The first failure path is customer concentration. Walmart accounted for about 40% of fiscal 2025 net sales and Target accounted for about 11%. If either customer reduces orders, pushes pricing harder, shifts to another supplier, expands private label without JBSS, or changes shelf space, revenue and margins could be materially hurt.

The second failure path is commodity cost pressure. The company buys raw nuts and other inputs that are affected by crop size, weather, climate, disease, tariffs, inflation, and global supply. If raw material costs rise and JBSS cannot pass them through quickly enough, margins can compress.

The third failure path is private-label competition and retailer power. Private-label programs can be bid-based, and JBSS may either lose business if it bids too high or accept lower margins if it bids too low.

How could competitors or technology disrupt this business?

Competitors can disrupt JBSS through lower pricing, stronger brands, better retailer relationships, more promotional spending, private-label expansion, better packaging, or faster innovation.

Large competitors such as Hormel/Planters, Diamond, General Mills, PepsiCo, Mondelez, Kellanova, and Mars have more resources and larger marketing budgets. These companies can pressure JBSS in branded snacks and bars.

Technology is not likely to eliminate the need for nuts, snacks, or food processing. The bigger technology risk is in retail purchasing, data analytics, ecommerce, and supply-chain efficiency. Large retailers may use better data and AI to pressure suppliers, optimize private-label offerings, reduce SKU counts, or shift volume to lower-cost providers.

Ownership

If the stock market closed for 10 years, would I want to own this entire business?

Yes, but only at the right price.

JBSS is understandable, profitable, established, and tied to durable food consumption. It has a long operating history, real processing assets, recognizable brands, strong customer relationships, vertical integration, solid returns on capital, and rational capital allocation.

However, I would not want to own it blindly at any price. The customer concentration is significant, pricing power is limited by retailers and commodity costs, and free cash flow can be lumpy.

Why will this business still exist in 20 years?

JBSS will likely still exist because people will still eat nuts, snack mixes, peanut butter, bars, dried fruit, trail mixes, and related food products.

Nuts have durable uses as snacks, recipe ingredients, health-oriented foods, foodservice inputs, and components in other packaged food products. Retailers and food manufacturers will still need reliable processors that can source, process, package, and distribute these products safely at scale.

The brands may change in strength, and the customer mix may change, but the underlying need for nut processing and distribution should remain. The company's vertical integration, facilities, supplier relationships, and customer relationships make it likely to remain relevant.

Final

What do I not understand? What makes me uncomfortable?

Walmart and Target together account for more than half of sales. That is too large to ignore. Before valuation, I need to understand how stable those relationships are, what products JBSS sells to those customers, how much is branded versus private label, and what would happen if shelf space or private-label contracts changed.

The second concern is pricing power. The company has some ability to pass through costs, but raw nut costs are market-driven and cannot be fully hedged. There can be timing problems between cost increases and price increases.

The third concern is free cash flow volatility. Net income and operating income look very good, but cash flow moves around because of inventory, crop purchases, seasonality, and working capital. Valuation should focus on normalized free cash flow, not one good or bad year.

The fourth concern is whether recent high returns on capital are sustainable. ROIC has been excellent in recent years, but this may depend on favorable procurement, strong retailer relationships, and stable margins. I need to know whether this is a structurally high-return business or a well-managed commodity processor in a favorable period.

Pass or Fail to Phase 3?

Pass to Phase 3 valuation.

John B. Sanfilippo & Son is worth valuing.

The company is understandable, profitable, durable, conservatively financed, and has a long record of improved margins and strong recent returns on capital. It operates in a boring but necessary food category, has meaningful vertical integration, owns recognizable brands, serves multiple channels, and appears to have treated shareholders reasonably over time.

This should not be valued like a dominant branded consumer staple. The moat is more operational than brand-based, and the customer concentration is serious. The valuation should be conservative and should focus on normalized EBIT, normalized free cash flow, working-capital swings, commodity cost risk, customer concentration, and whether the recent ROIC profile is sustainable.

But this is clearly above-average compared with most screened companies. It deserves a full valuation.